



Introduction

Chapter 1

Learning Objectives

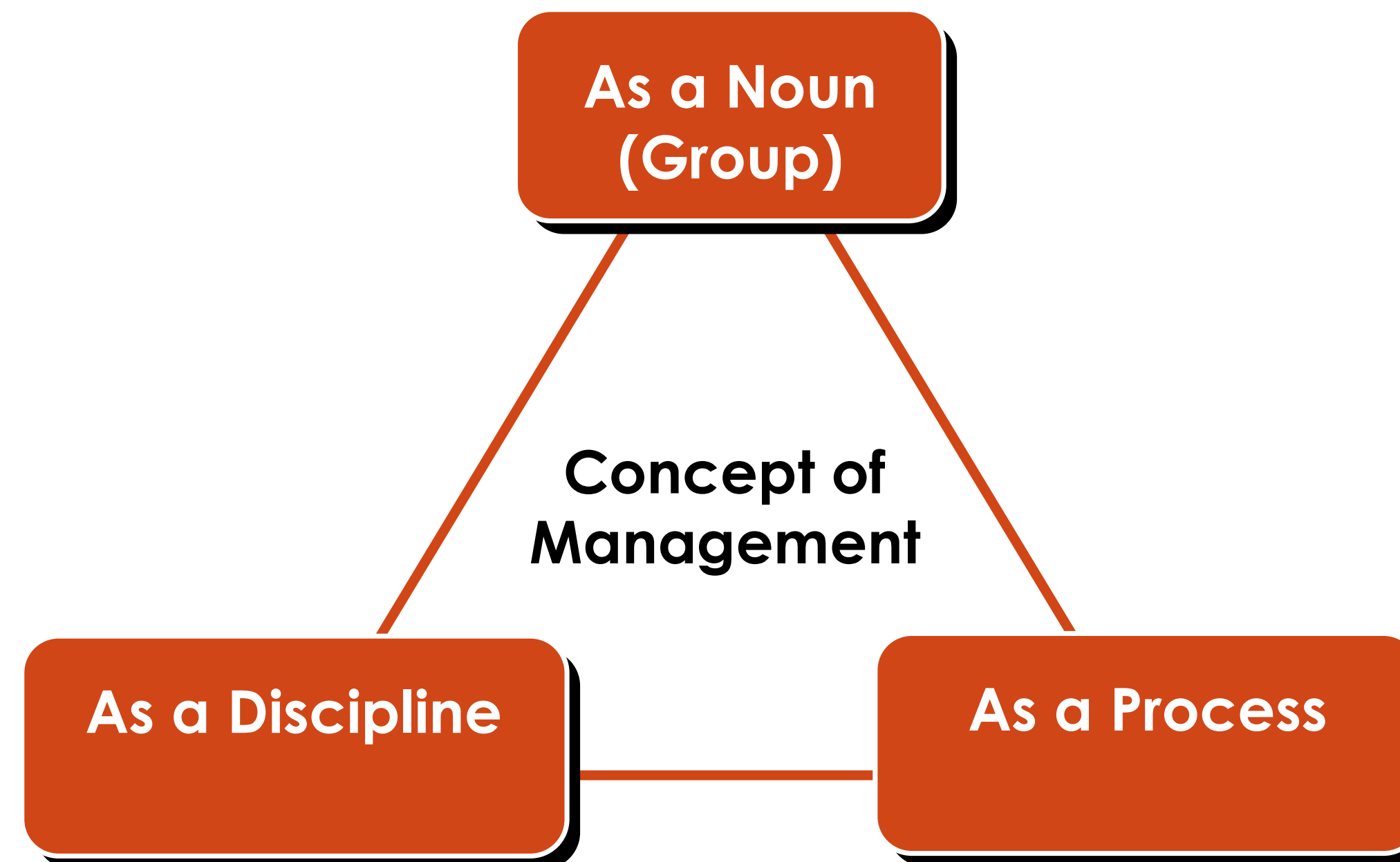
After studying this chapter, the students are expected to:

- know the concept, characteristics, explain management process (functions) and principles of management, and business management;
- understand managerial hierarchy/levels;
- describe the types of managers;
- know managerial skills and roles;
- understand the changing job of managers;
- know the concept, nature/features of business environment;
- discuss the management issues and challenges;
- know the types/components/classification of business environment;
- discuss the methods of environmental analysis;
- discuss the importance of environmental analysis.



Concept of Management

Management is a purposive activity of working with others to achieve the organizational goals effectively by managing organizational resources which are limited. It is a universal phenomenon.



Concept of Business Management

Business management is related to managing the business. It is concerned with managing the business activities efficiently as well as effectively so that the desired results may be achieved.



Characteristics of Management

Management is a set of activities directed towards the attainment of goals. It has certain characteristics as listed below.

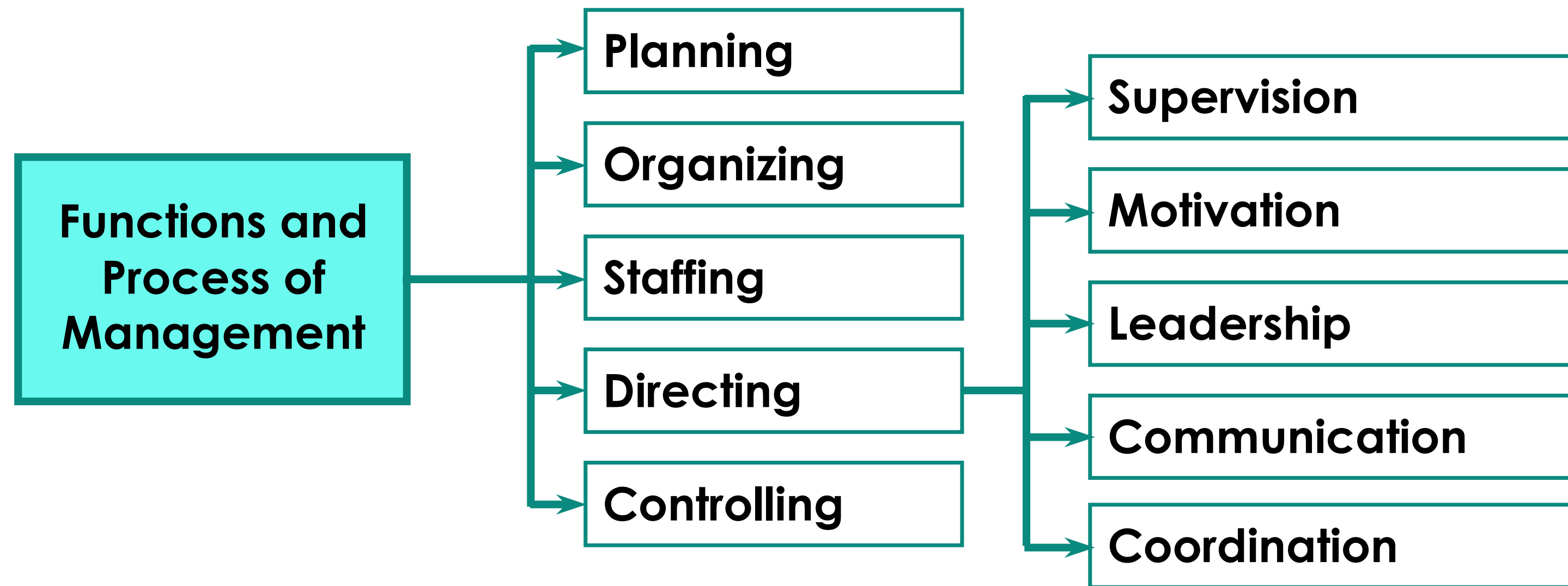
1. Universal and pervasive
2. Goal oriented
3. Continuous process
4. Multidimensional activity
5. Group activity
6. Dynamic function
7. Both a science and an art
8. A profession
9. Multidisciplinary



Functions/Process of Management

The management system is a system or process of interrelated and sequential components or function of management.

1. Planning
2. Organizing
3. Staffing
4. Directing
5. Controlling



Principles of Management

Management is based on certain principles. The 14 principles of management as stated by Henri Fayol are discussed below.

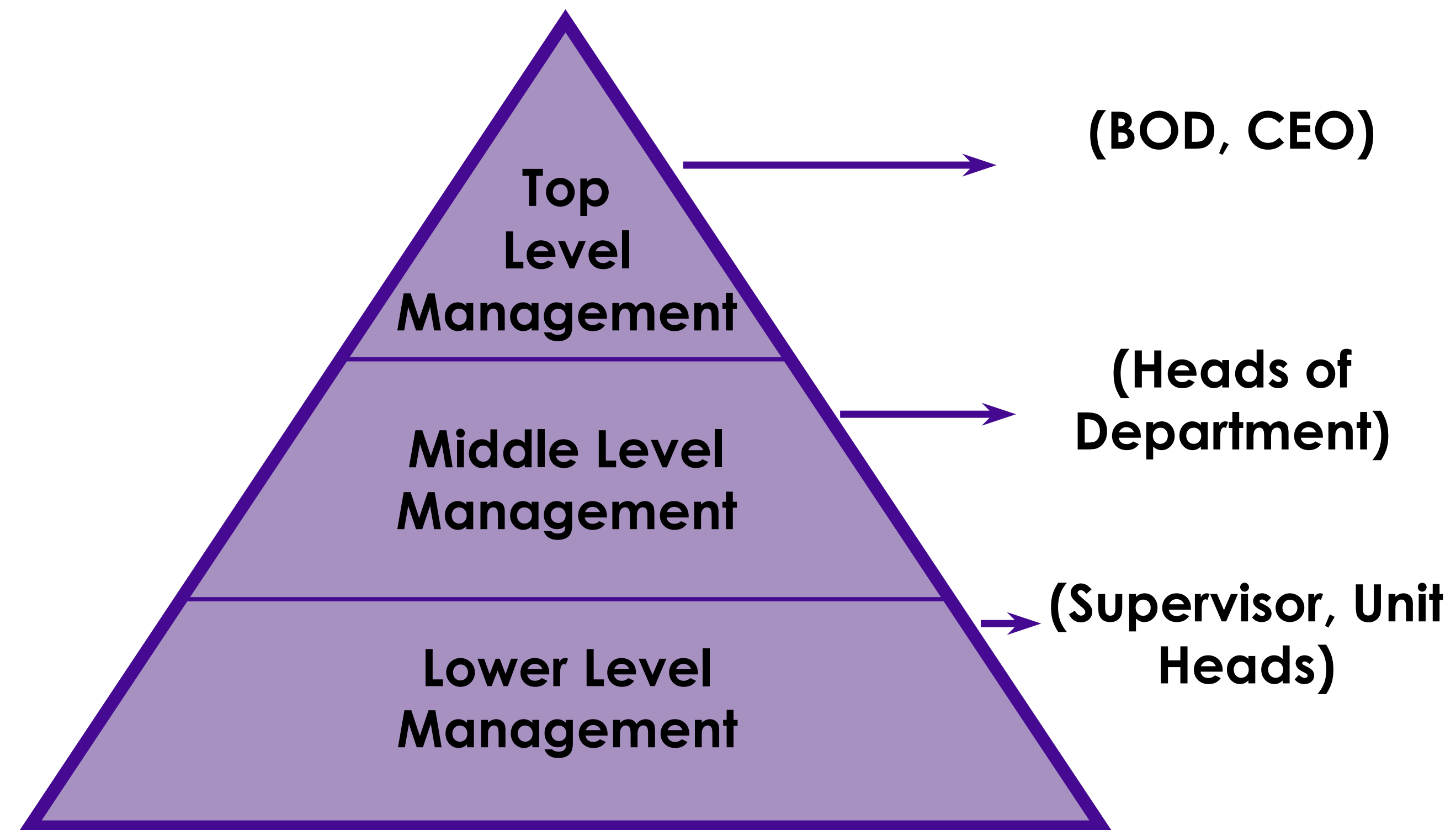
1. Division of labor
2. Authority and responsibility
3. Unity of command
4. Unity of direction
5. Equity
6. Order
7. Discipline
8. Initiative
9. Fair remuneration
10. Stability of tenure
11. Scalar chain
12. Subordination of individual interest to general interest
13. Centralization and decentralization
14. Esprit de' Corps



Levels/Hierarchy of Management

There are commonly three levels of management. Each of them is discussed below.

1. Top level management
2. Middle level management
3. Lower level management



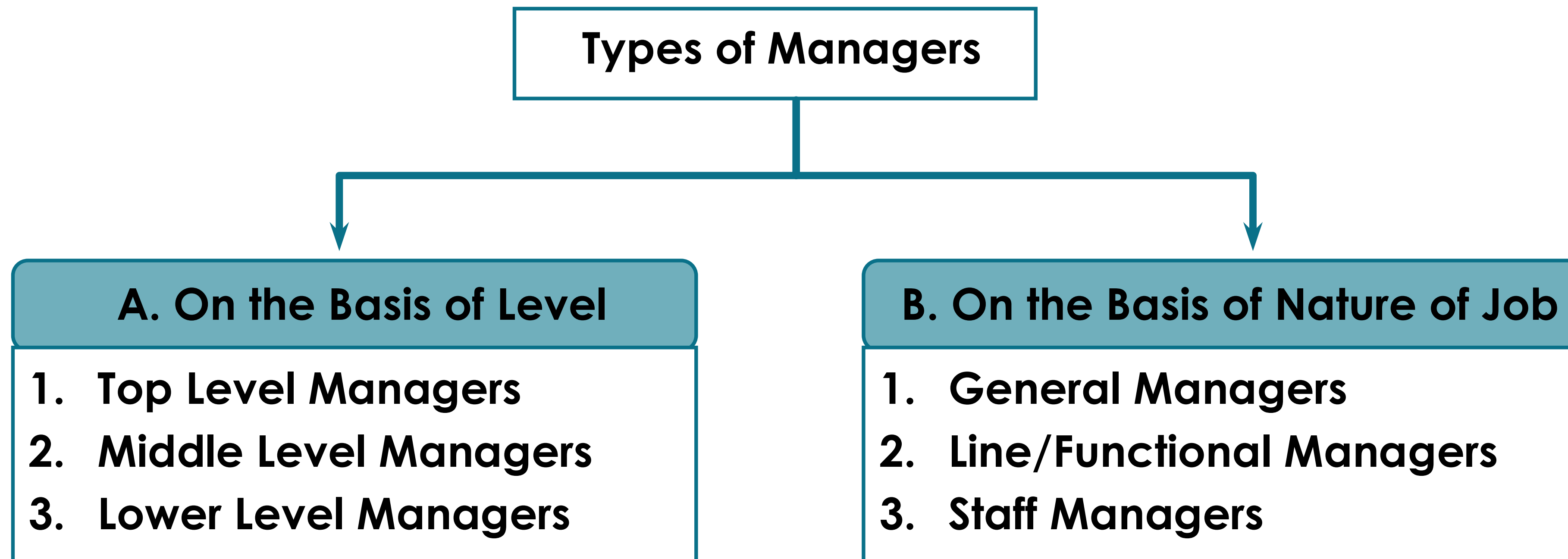
Comparison of Level of Management and their Tasks

Characteristics	Top Level Management	Middle Level Management	Lower Level Management
Focus on policy formulation and Strategy	High	Medium	Low
Time span	Long range	Intermediate range	Short range
Skill required	Creative	Persuasive	Operative
Scope	Very large	Large and functional	Small and sub functional
Number of persons involved	Few	Moderate	Many
Evaluation	Difficult	Less and difficult	Easy
Nature	Complex	Less and complex	Simple



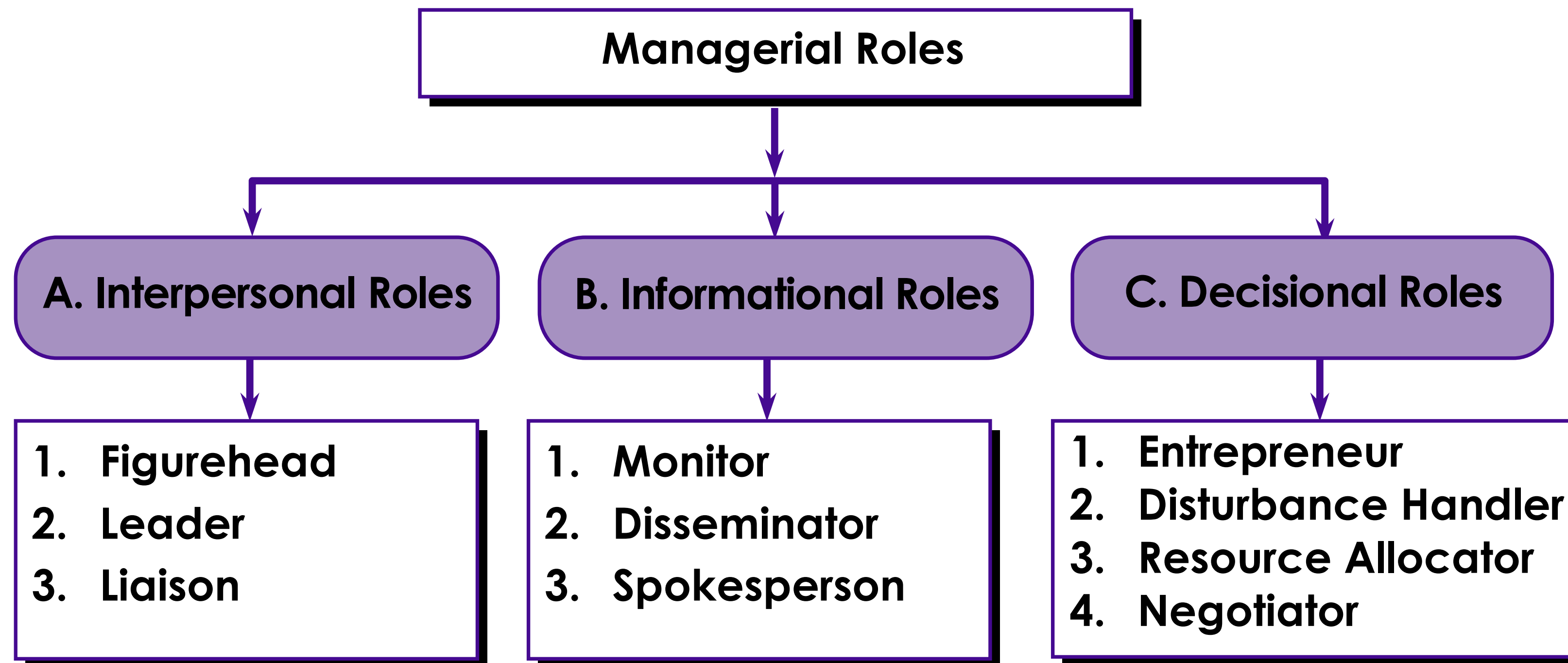
Types of Managers

There are different types of managers in an organization. They can be classified in two ways: on the basis of level and on the basis of the nature of the job.



Managerial Roles

A manager should perform a number of activities which are varied in nature. For this reason, he/she plays interpersonal, informational, and decisional roles. Ten different kinds of roles, divided into three categories were developed by Henry Mintzberg in the 1960s.



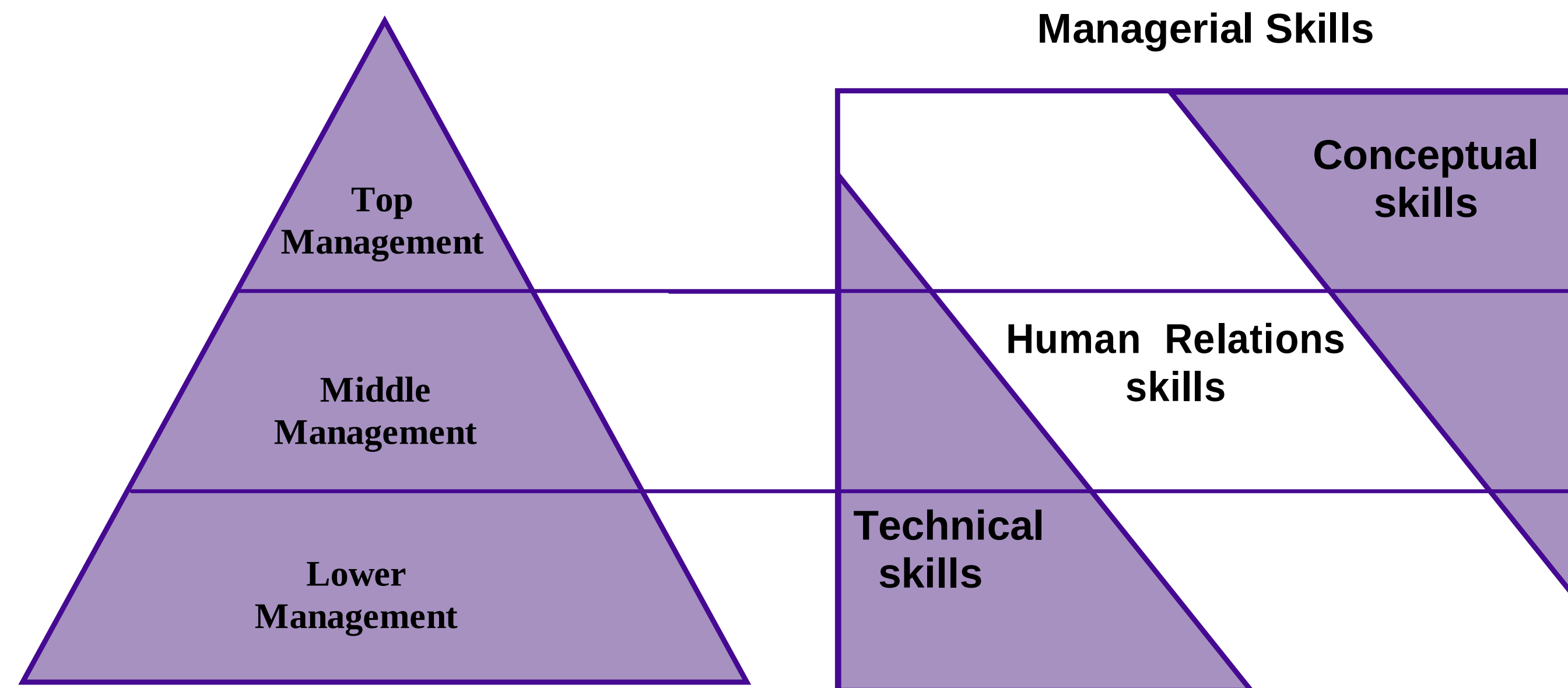
Roles of Managers

Role	Description
A. Interpersonal	
1. Figurehead	Performs symbolic duties of a legal and social nature.
2. Leader	Builds relationships, communicates with, motivates, and teaches subordinates.
3. Liaison	Maintains networks outside the workplace who provide help and information.
B. Informational	
1. Monitor	Seeks internal and external information about issues affecting the organization.
2. Disseminator	Transmits information obtained internally or externally.
3. Spokesperson	Transmits information about the organization to outsiders.
C. Decisional	
1. Entrepreneur	Acts as initiator, designer and encourage of change and innovation.
2. Disturbance handler	Takes corrective action when an organization faces important unexpected difficulties.
3. Resource allocator	Distributes resources of all types throughout the organization,.
4. Negotiator	Represents the organization in major negotiations affecting the manager's area of responsibility



Managerial Skills

A skill is the ability to translate knowledge into performance. A manager needs different kinds of skills to discharge his/her duties effectively.



Manager as a Career

Career is a job or profession that someone does for a long time. It describes an individual's journey through learning, work and other aspects of life.

1. High competition
2. Enlarged scope of management
3. Management: beyond family
4. Employee and then employer
5. Becoming a manager: the role of education and experience
6. The Nepalese context



Changing Jobs of Managers

1. From specialist to general manager
2. Mastering the job



Role of Education, Experience and Situation

Role of Education

The roles of formal education in becoming a manager are noteworthy. Some of the important ones are:

1. Formal education equips the people with required conceptual knowledge of organizations and management.
2. It also provides knowledge and skills in the functional areas of management, such as production, marketing, human resource, accounting and finance.
3. It provides knowledge and skill of the organizational environment in national and international perspective.
4. It encourages entrepreneurial capabilities in people to make them effective change agents in the society.
5. It prepares people in sectoral areas such as, education, health, transportation, hydroelectricity, tourism, and entertainment.
6. It helps to develop research capability of the people to explore the new ways of addressing organizational issues.



Role of Education, Experience and Situation

Role of Education

Experience is the knowledge or skill obtained from doing, seeing, or feeling things over a period of time.

1. Many organizations give more importance to experience than knowledge with their managers due to technical nature.
2. Experience can make the operation of business less adopt and more smooth.
3. More experience means less chances of failure and vice versa.
4. Having managerial experience means, he/she knows the sector or industry closely.
5. Experience helps to understand the trends and the demand in the industry.
6. Experience also creates a commitment to that profession/business.
7. Experience helps to fulfill the weaknesses that are found in formal education.



Role of Education, Experience and Situation

Role of Situation

The managerial roles are situational. Therefore, a manager should be dynamic to deal with diverse organizational conditions. The role of situation in becoming manager can be summarized as:

1. Becoming a successful manager is also the outcome of situations like leadership and outside conditions.
2. Situation helps the managers what type of leadership style to chose and why?
3. Manager can't change the situation (Basically external), so they need to follow or predict the situation.
4. Situation tells the manager what to do and not to do to be successful.
5. Situations do not follow the manager, rather managers have to follow them.
6. A person who is not thinking to be a manager can be a manager because of situation and vice versa.
7. Managers must put the situation into top priority.



Emerging Management Issues and Challenges

The field of management is changing every year due to the dynamic nature of environment. In this section, we discuss the emerging issues and challenges only. They are explained below:

1. Globalization
2. Environmental dynamism
3. Workforce diversity
4. Ethics and social responsibility
5. Empowerment of employees
6. Technological development
7. Innovation and Change
8. Quality and productivity
9. Changing culture
10. Changing consumer expectations
11. Knowledge management

